

Syntetika Audit Summary

Prepared by Cyfrin

Version 2.0

Lead Auditors

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August 1, 2025

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1 About Cyfrin

Cyfrin is a Web3 security company dedicated to bringing industry-leading protection and education to our partners and their projects. Our goal is to create a safe, reliable, and transparent environment for everyone in Web3 and DeFi. Learn more about us at cyfrin.io.

2 About This Document

This document is a public summary of the security audit Cyfrin performed for Syntetika Labs on Syntetika. It records the repositories and commits reviewed, the timeline, auditors, in-scope files, and the number and final status of findings by severity. It closes with Cyfrin's attestation of the review's scope and final remediation status.

It is deliberately abbreviated: the technical detail of individual findings is not reproduced here. The complete audit report, version 2.0 dated August 1, 2025, was delivered to Syntetika Labs, who retain it as the full record of the engagement. This summary was issued on October 29, 2026.

3 Disclaimer

The Cyfrin team makes every effort to find as many vulnerabilities in the code as possible in the given time but holds no responsibility for the findings in this document. A security audit by the team does not endorse the underlying business or product. The audit was time-boxed and the review of the code was solely on the security aspects of the in-scope code being audited. Unless the scope explicitly notes otherwise, the review is limited to the application layer and does not extend to the correctness of API/SDK/execution environment implementations, compilers, standard and third-party libraries, underlying operating systems and hardware.

4 Copyright and License

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5 Audit Overview

Over the course of 5 days, the Cyfrin team conducted an audit on the Syntetika code provided by Syntetika Labs. The findings consist of 1 High, 1 Medium & 7 Low severity issues with the remainder being informational and gas optimizations.

Summary

Project Name	Syntetika
Repository	monorepo
Commit	337a4e9aa8ce...
Fix Commit	9fccd3b18f15...
Audit Timeline	July 28th - Aug 1st, 2025
Methods	Manual Review, Stateful Fuzzing

Issues Found

Severity	Found	Resolved	Acknowledged
Critical Risk	0	0	0
High Risk	1	1	0
Medium Risk	1	1	0
Low Risk	7	6	1
Informational	19	15	4
Gas Optimizations	6	5	1
Total	34	28	6

6 Audit Scope

The scope of the audit was limited to:

```
deposit-registry/contracts/ComplianceChecker.sol
deposit-registry/contracts/CompliantDepositRegistry.sol
issuance/src/helpers/Blacklistable.sol
issuance/src/helpers/TokensHolder.sol
issuance/src/helpers/Whitelist.sol
issuance/src/minter/Minter.sol
issuance/src/token/HilBTC.sol
issuance/src/vault/StakingVault.sol
```

7 Risk Classification

	Impact: High	**Impact: Medium**	**Impact: Low**
Likelihood: High	Critical	High	Medium
Likelihood: Medium	High	Medium	Low
Likelihood: Low	Medium	Low	Low

8 Protocol Summary

Syntetika provides a “real yield” solution that bridges traditional Bitcoin holdings with DeFi and trading strategies. At its core, the protocol operates on a three-tier token system (BTC/wBTC <-> hBTC <-> shBTC) that enables users to earn yield on their Bitcoin while keeping it liquid.

Users deposit either native BTC or wrapped BTC through a compliance-checked minting process, with KYC/KYB verification through Galactica’s SBT-based compliance system. Upon deposit, users receive hBTC tokens at a 1:1 ratio, representing their claim on the underlying Bitcoin. Users can also buy hBTC on decentralized exchanges.

hBTC is redeemable 1:1 for native or wrapped BTC. The deposited Bitcoin is transferred to Hilbert Group, a proprietary trading firm, which deploys these funds across various trading strategies to generate profits.

To earn yield, users can stake their hBTC tokens in the `StakingVault`, receiving shBTC (staked hBTC) shares in return. These vault shares represent proportional ownership of the yield-generating pool and appreciate in value as trading profits are distributed back to the vault, so the yield comes from trading performance rather than token emissions.

9 Attestation

Cyfrin attests that it performed a security review of the Syntetika code provided by Syntetika Labs.

The repositories, commits, review period and findings with their final status are in the Summary and Issues Found tables in Section 5, and the in-scope files in Section 6. This attestation is limited to the documented scope, audited commits and mitigations specifically reviewed by Cyfrin.

Cyfrin publishes this document and its SHA-256 hash at https://github.com/Cyfrin/cyfrin-audit-reports. To check a copy on macOS or Linux, run the following in the folder that contains it; it prints `OK` when the copy matches. If the copy was renamed, set F to its file name. Before running it, check that the URL is Cyfrin’s repository.

```
U=https://github.com/Cyfrin/cyfrin-audit-reports/raw/main/reports/sha256
N=2025-08-01-cyfrin-syntetika-v2.0.pdf
F=$N
H=$(curl -fsSL $U/$N.sha256 | cut -d' ' -f1)
echo "$H *$F" | shasum -a 256 -c
```

Cyfrin's full audit report with all findings provided to Syntetika Labs has the SHA-256 hash and file name below. To check a copy of it, first check this document as above, then run the following in the folder that contains the full report; it prints `OK` when the copy matches. If the copy was renamed, set F to its file name.

```
H=a380ea2ab7957845f8a296b826a5e04ee0406b68354146e8949a3fb79b90e406
F=2025-08-01-cyfrin-syntetika-v2.0-full.pdf
echo "$H *$F" | shasum -a 256 -c
```

On Linux, `sha256sum -c` can be used in place of `shasum -a 256 -c`. On Windows, run `Get-FileHash <file> -Algorithm SHA256` in PowerShell and compare the result with the hash.